

This explains why interest rates are a big deal and why people are so keen on what the Fed is going to do. Interest rates on passive, tax-exempt securities set the crossbar for stocks.

Here's Buffett summing it up well:

Inflationary experience and expectations will be major (but not the only) factors affecting the height of the crossbar in future years. If the causes of long-term inflation can be tempered, passive returns are likely to fall and the intrinsic position of American equity capital should significantly improve. Many businesses that now must be classified as economically “bad” would be restored to the “good” category under such circumstances.

Inflation did abate. Rates fell. Stocks soared.

While on the topic of Buffett and inflation, it's worth clearing up another misconception about what kinds of businesses do better in inflationary environments.

As much as the big-picture crowd likes to hammer away at stocks, they do have a soft spot for stocks with tangible assets — such as gold miners and oil stocks. The usual belief is these stocks will protect you when the dollar loses value.

Not really true.

I always think about Warren Buffett's example from his 1983 letter, when inflation was still high on everyone's list of concerns. Buffett ran through an example of See's Candies versus a hypothetical business with lots of tangible assets — let's call the latter Gold-Oil Co.

Both businesses earn \$2 million in profits. See's has little in the way of tangible assets — about \$4 million worth. The stock goes for \$25 million.

Gold-Oil Co, by contrast, has \$18 million in net tangible assets supporting its operations. Since it earns a lower return on its asset base, the stock goes for \$18 million (basically the value of its net tangible assets).

Now, let's roll forward and say inflation doubles prices. Both need to double their earnings just to keep pace with inflation. As Buffett writes, “this would seem to be no great trick: just sell the same number